who have unlocked huge wealth over the past few years. "Most grew up in middle-class homes and don't necessarily want luxury for everything," says Hundekari. "They might buy a luxury house and a car. Whether they buy luxury apparel is doubtful." Senior corporate executives, many from middle-class families, also "spend on small luxury". Then there are those with generational wealth, a section that has stayed about the same.

"People are willing to spend more and get something that is a lot more desirable than spending that same amount on five different products," says Gautam Sinha, founder of leather goods brand Nappa Dori.

Samrath Bedi, executive director of luxury cosmetic brand Forest Essentials, concurs. Five years ago, the product and the brand story did more of the work, he says. "Today, consumers research what they buy. They want to understand ingredients, formulation, efficacy and what justifies the premium," says Bedi.

That customer is also younger, increasingly from outside the metros, and more of them are men, says Bedi. And he or she is more willing to back an Indian label. "If the provenance, quality and experience are compelling, an Indian brand can sit comfortably alongside the best global luxury brands," says Bedi. The questions his customers ask now are simpler: "Is this worth it, do I enjoy it and will I come back to it?"

India's affluent consumers are learning to treat luxury less as a fixed hierarchy of brands and more as a portfolio of purchases, chosen by occasion, quality and, increasingly, price.



"India's luxury market has been growing at 10–12% a year. Trading up is happening from premium to luxury"

NEELESH HUNDEKARI
SENIOR PARTNER, KEARNEY

THE PRICE OF PRESTIGE

Sinha has watched this happen over the past five years. "The younger generation has become much savvier about what quality they're getting and what they are spending on," he says. Information is easy to find.

Industry reports have long found that affluent Indian consumers favour overseas purchases for both price and assortment. Chandhok compares prices in India and abroad before she buys a watch or a phone.

"Indians are price-sensitive," says Hundekari. High import duties, a lack of depth in the market and weaker rupee mean a luxury product costs 20% more in India than in Dubai, Singapore or London. "Buyers will pay a premium of 5–10% at most to buy at home, so a large part of their luxury spending still happens abroad," he says.

These buying patterns, an uneven market, and price consciousness are the reasons India has proved harder for global luxury brands to crack than they once imagined. For years, the industry hoped India would become the next China. Hundekari says "all of them have realised that India is a very different market".

China, he says, is far more Western-influenced. Office workers there save to buy one luxury bag or one brand of shoes, and senior executives wear expensive watches as a matter of course. "That craze is not there in India," he says. Comparatively, fewer Indian women wear Western-branded jewellery, and fewer Indian men wear a Rolex, a Patek Philippe or an Audemars Piguet. The biggest spending occasion, the wedding, is dominated by Indian wear and Indian jewellery.

Cars are the exception. India is now the world's fifth-largest market for the Maybach. About three-quarters of the Maybachs, G-Classes and other top-end cars Mercedes sells in India are personalised, according to Iyer. "Buyers wait three to six months for theirs to be built, but once a car is ready, many of them will not wait any longer," says Iyer. "They pay ₹40–50 lakh to have it flown in, so that it reaches them within a week." That is luxury with an Indian touch. BT